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CONSUMER DISCRETIONARY · HOME IMPROVEMENT RETAIL

The Home Depot

The Home Depot, Inc.

NYSE: HD · United States · Report date: 23 September 2026

\$305.35

Closing price, 22 September 2026 · NYSE composite



HD share price, 1 July 2026 to 22 September 2026 (daily close). Source: Stockanalysis.com market data.

Executive Summary

Business

The Home Depot is the largest home improvement retailer in the United States, operating 2,359 stores across the United States, Canada and Mexico and selling building materials, tools, appliances and home decor to both individual homeowners and professional contractors. Reasoned: revenue is generated through in-store and digital sales of merchandise, complemented since 2024 by wholesale distribution of roofing, landscaping and pool supplies through the SRS Distribution and GMS platforms acquired to deepen its reach with professional trade customers. The company's largest customer base remains the United States residential repair, remodeling and new-construction market, with a growing share of revenue coming from professional ("Pro") customers relative to do-it-yourself ("DIY") shoppers.

Financial Condition

Sourced: fiscal 2025 (ended 1 February 2026) revenue was \$164,683 million, up +3.24% year over year, with operating margin of 12.7% and net margin of 8.6%. Trailing twelve month EBITDA was approximately \$24,648 million. Fiscal 2025 operating cash flow was \$16,325 million and free cash flow was \$12,646 million, a 7.7% free cash flow margin. Net debt stood at approximately \$64,520 million, equivalent to 2.62 times EBITDA, following debt-funded acquisitions of SRS Distribution and GMS.

Market Position

Reasoned: Home Depot's principal direct competitor is Lowe's Companies, with Floor & Decor, Menards (privately held) and a fragmented base of independent lumberyards and specialty distributors competing in adjacent categories. Home Depot's major competitive advantage is scale-driven purchasing power and an owned-real-estate store network combined with the largest professional-contractor supply chain in the category following the SRS and GMS acquisitions. Its major competitive weakness is a revenue base still exposed to cyclical housing turnover and discretionary big-ticket remodeling spending, which has been soft through fiscal 2025 and fiscal 2026 to date.

Valuation

Sourced/calculated: at the \$305.35 closing price on 22 September 2026, Home Depot's market capitalization is approximately \$304.6 billion and enterprise value approximately \$369.2 billion, implying a trailing price-to-earnings ratio of 21.4 times, an EV/EBITDA multiple of 15.0 times and a price-to-free-cash-flow multiple of 24.1 times on fiscal 2025 free cash flow.

Investment Framework

**WHAT IS
ATTRACTIVE**

A dominant, difficult-to-replicate store and distribution network; a growing, less cyclical professional-contractor revenue stream following the SRS/GMS acquisitions; and a long history of shareholder distributions.

**WHAT IS
CONCERNING**

Four consecutive years of operating margin compression, a highly leveraged balance sheet following debt-funded acquisitions, and continued softness in large discretionary remodeling projects.

WHAT MUST GO RIGHT	Successful integration of SRS Distribution and GMS, stabilization of comparable sales as interest rates ease, and margin recovery toward the mid-13 percent operating margin range.
WHAT COULD BREAK THE THESIS	A prolonged housing-market downturn, tariff-driven cost inflation that cannot be passed through, or integration missteps that fail to realize targeted Pro-channel synergies.
WHAT APPEARS PRICED IN	At current levels the market appears to price in a return to mid-single-digit revenue growth and gradual margin recovery, a more optimistic path than the base case explored in Section C5 of this report.

Investment Profile

BUSINESS QUALITY	Reasoned: high. Category-leading scale, owned real estate, entrenched Pro relationships.
FINANCIAL QUALITY	Reasoned: moderate. Strong absolute cash generation but a materially levered, thin-equity balance sheet.
COMPETITIVE POSITION	Reasoned: strong. Largest player in a duopolistic big-box segment with expanding Pro distribution reach.
GROWTH PROFILE	Reasoned: moderate. Low-to-mid single digit organic growth, supplemented by acquisitions.
BALANCE-SHEET RISK	Reasoned: elevated. Net debt/EBITDA near 2.6 times following two large acquisitions in 15 months.
VALUATION	Reasoned: full. Trading multiples sit above the calculated base-case discounted cash flow range detailed in Section C5.
MARKET AND TECHNICAL PROFILE	Sourced: price sits below both the 50-day (\$330.76) and 200-day (\$341.90) moving averages and roughly 24 percent below the 52-week high.

A. About the Business

A1. Business Environment

Reasoned: the home improvement retail industry sells building materials, tools, appliances, decor and installation services to two structurally different buyer groups: individual homeowners undertaking do-it-yourself projects, and professional contractors, remodelers and tradespeople who purchase materials on behalf of end customers. The industry's revenue pools split broadly between discretionary big-ticket remodeling (kitchens, bathrooms, roofing, flooring), repair and maintenance spending that is largely non-discretionary, and new single-family and multifamily construction demand. Cost pools are dominated by merchandise procurement, real estate and distribution logistics, and, for the professional channel, delivery and job-site fulfillment.

Sourced: the National Association of Home Builders reports that the median age of the United States owner-occupied home rose from 31 years in 2006 to 41 years in 2023, and that its NAHB/Westlake Royal Remodeling Market Index has remained above the break-even level of 50 for 24 consecutive quarters, a sign of sustained, structurally supported remodeling demand even as new construction and existing-home turnover have softened. The number of remodeling firms operating in the United States nearly doubled from 69,000 in 2000 to 128,000 in 2025 per the same source, indicating a fragmented, consolidating contractor base that Home Depot's Pro-distribution strategy targets directly as a wholesale customer segment.

Reasoned: the industry is capital intensive at the retailer level (large-format stores, distribution centers, inventory) but has moderate cyclicity tied to housing turnover, remodeling confidence and interest rates, and is subject to only modest direct regulation (building codes affect end demand more than retailer operations). Technological dependence is rising through e-commerce, buy-online-pick-up-in-store fulfillment and supply-chain digitization for the professional channel. The industry is moderately concentrated at the big-box retail level, with two national scale players (Home Depot and Lowe's), a large privately held regional chain (Menards) and a long tail of independent lumberyards, hardware stores and building-materials distributors that are increasingly being consolidated by both national players through wholesale-distribution acquisitions.

Reasoned classification: the core big-box segment of the industry is **mature**, with low single-digit long-run unit growth, while the professional-contractor distribution sub-segment in which Home Depot has been investing (roofing, landscaping, pool supplies) is **consolidating**, as national retailers acquire fragmented independent distributors to build integrated Pro supply chains.

A2. What Does the Company Do?

Sourced: Home Depot operates large-format warehouse stores that sell building materials, home improvement products, lawn and garden products, and decor items, together with installation and tool-rental services, and, following the 2024 acquisition of SRS Distribution and the 2025 acquisition of GMS, a network of specialty wholesale branches supplying roofing, landscaping, pool and interior-building-products contractors directly, largely bypassing the traditional big-box store format for that channel. Revenue streams therefore split between traditional retail sales to DIY and Pro customers through stores and digital channels, and wholesale distribution sales to professional contractors through the SRS and GMS branch networks. Reasoned: DIY demand is driven by smaller, more frequent, more discretionary projects, while Pro demand is driven by larger, recurring, job-dependent purchasing with greater price sensitivity but higher basket size and repeat frequency.

Reasoned: unit economics favor high inventory turnover on commodity building materials and higher margins on decor, tools and seasonal categories; major operating costs are merchandise cost of goods sold, store payroll, occupancy and distribution/delivery costs, which have risen as the Pro-distribution model requires more job-site delivery infrastructure than traditional store pickup. Capital requirements include store build-out and remodeling, distribution-center and delivery-fleet investment, and, since 2024, the funding of large wholesale-distribution acquisitions.

How a dollar enters the company and where it goes

CUSTOMER DIY homeowners; do-it-for-me customers; professional contractors and tradespeople purchasing through stores, digital channels or Pro/wholesale branches.	PRODUCT AND SERVICE Building materials, tools, appliances, decor, installation services, tool rental, and wholesale-distributed roofing, landscaping and pool products.	REVENUE \$164,683 million in fiscal 2025, split between store/digital retail sales and Pro wholesale-distribution sales.
COSTS Merchandise cost of goods, store payroll and occupancy, distribution and delivery, marketing, acquisition-related amortization.	OPERATING PROFIT Fiscal 2025 operating income of \$20,890 million, a 12.7% margin.	CASH FLOW AND CAPITAL ALLOCATION \$12,646 million free cash flow in fiscal 2025, directed mainly to dividends (\$9,152 million) and debt service following acquisitions, with buybacks curtailed.

Reasoned: the most economically important parts of this model are, first, store-level merchandise gross margin, which funds the fixed cost base of the store network, and second, the Pro-distribution delivery infrastructure, which now represents the company's primary growth investment and its main source of near-term margin pressure through acquisition-related amortization and integration costs.

A3. Business and Relationship Network

Reasoned: Home Depot's ecosystem spans thousands of merchandise suppliers (national brands such as major appliance, tool and building-materials manufacturers, alongside private-label suppliers), logistics and delivery partners, and, since 2024 and 2025, two large wholesale-distribution subsidiaries, SRS Distribution (building products distribution to roofing, pool and landscape professionals) and GMS (wallboard, ceilings and specialty building-products distribution), both acquired to extend Pro-customer reach. Major shareholders are predominantly institutional, with insiders holding a small single-digit percentage of shares outstanding (Sourced: Alpha Vantage ownership data, approximately 6.9 percent insider and 76.8 percent institutional ownership).

COMPANY The Home Depot, Inc.	SEGMENTS Retail stores and digital (DIY and Pro); SRS Distribution and GMS wholesale branches.	SUPPLIERS National and private-label building-materials, tool and appliance manufacturers.
CUSTOMERS Homeowners, do-it-for-me customers, professional contractors and tradespeople.	DISTRIBUTION Company-operated stores, e-commerce and buy-online-pick-up-in-store, plus SRS/GMS branch delivery to job sites.	SUBSIDIARIES AND BRANDS SRS Distribution; GMS; HD Supply (prior Pro-facing business, integrated into the broader Pro strategy).

Reasoned: the SRS and GMS relationships matter economically because they shift Home Depot's revenue mix toward larger, more recurring professional projects that are less exposed to discretionary DIY spending cycles, while also adding integration and financing risk given their scale and debt-funded structure.

A4. Competition

Reasoned: Home Depot's most relevant direct competitor is Lowe's Companies, a comparable national big-box home improvement retailer. Indirect competitors include Floor & Decor (flooring specialist), Menards (privately held regional

chain), and a large number of independent lumberyards and building-materials distributors, several of which compete directly with the newly acquired SRS and GMS wholesale platforms. Substitute channels include general merchandise retailers for smaller hardware purchases and direct-to-contractor sales by manufacturers. Emerging competition includes online-only tool and hardware retailers and manufacturer-direct e-commerce channels.

COMPETITIVE COMPARISON, MOST RECENT REPORTED FISCAL YEAR

Company	Revenue	Gross margin	Net margin	Primary customer	Relative position
Home Depot	\$169,176m (TTM)	33.3%	8.6%	DIY, do-it-for-me, Pro	Category leader by revenue and Pro-distribution reach
Lowe's Companies	\$86,000m (FY25)	30.6%	7.7%	DIY-weighted, growing Pro	Second-largest big-box peer, smaller Pro-wholesale footprint
Floor & Decor	Not retrieved	Not retrieved	Not retrieved	Flooring specialist, DIY and Pro	Category specialist, far smaller scale
Menards (private)	Not retrieved	Not retrieved	Not retrieved	Regional Midwest DIY and Pro	Privately held regional scale player; no public financials

Sourced: Home Depot trailing twelve month figures per company filings and Alpha Vantage; Lowe's fiscal 2025 figures per company reporting as summarized by The Motley Fool (27 May 2026). Floor & Decor and Menards financial detail not retrieved within this research pass; Menards does not disclose public financials.

A5. Competitive Differences

Reasoned advantages: scale-driven purchasing power across roughly 2,359 stores; an owned real-estate base that reduces occupancy-cost inflation relative to newer entrants; the largest professional-contractor supply chain in the category following the SRS and GMS acquisitions; and an established omnichannel fulfillment network. Reasoned disadvantages: a revenue base still meaningfully exposed to discretionary, big-ticket remodeling demand that is sensitive to mortgage rates and consumer confidence; rising leverage from acquisition financing; and integration execution risk across two large wholesale-distribution acquisitions completed within roughly fifteen months of each other.

Reasoned: Home Depot's moat is **structural** rather than temporary in its core big-box retail business, resting on real-estate scarcity, purchasing scale and brand trust built over decades, while its Pro-distribution advantage from SRS and GMS is newer and will require several years of successful integration to prove structurally durable.

Assessed moat strength: Strong.

A6. Industry Trend

Sourced: the National Association of Home Builders' February 2026 outlook projects inflation-adjusted remodeling activity expanding approximately 3 percent in 2026 and a further 2 percent in 2027, citing the aging housing stock and a mortgage-rate "lock-in effect," whereby homeowners holding older, lower-rate mortgages choose to renovate in place rather than sell and take on a higher-rate mortgage elsewhere, as durable demand supports. Reasoned: new construction and the largest discretionary renovation projects remain more constrained, as they depend more directly on housing turnover and financing costs, which have remained elevated relative to the prior decade. Pricing trends have been affected by tariff-driven input-cost inflation on certain imported categories through 2026, discussed further in Section B2.

Reasoned classification: the core industry is **mature and cyclical**, with the professional-distribution sub-segment **consolidating**. A reversal of the current soft-demand trend would most likely be driven by a meaningful decline in mortgage rates that restores existing-home sales turnover and larger-project remodeling confidence.

A7. Management

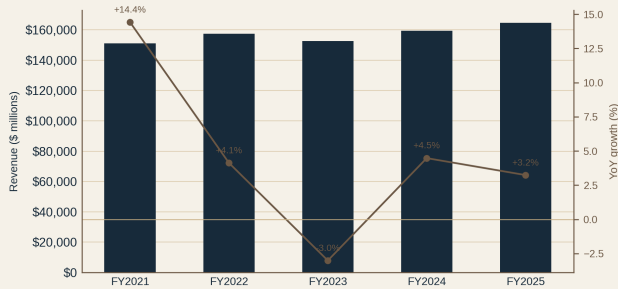
Sourced: Ted Decker serves as Chair, President and Chief Executive Officer of The Home Depot. Richard McPhail serves as Executive Vice President and Chief Financial Officer and, following a July 2026 organizational realignment reported by Retail Insider, also leads a newly created Office of Pro Acceleration coordinating Home Depot Pro, HD Supply, SRS Distribution and Construction Resources. William (Billy) Bastek leads consolidated core and private-brand merchandising under the same realignment, Jordan Broggi leads a newly unified retail-operations function spanning customer experience, online operations, financial services and loyalty, and Fran Bell was appointed Chief Technology Officer with store, supply-chain and professional-product technology teams consolidated under her. Management described the changes as intended to sharpen execution and accelerate the professional-customer growth strategy.

Reasoned: management's capital allocation record over the past several fiscal years shows a clear shift from returning cash primarily through share repurchases toward funding large debt-financed acquisitions (SRS Distribution in 2024, GMS in 2025) while maintaining an uninterrupted, growing quarterly dividend, now \$9.32 per share annualized. Share buybacks fell from double-digit billions of dollars annually earlier in the period to negligible levels in fiscal 2025 as capital was redirected toward acquisition debt paydown. Sourced: at the time of the GMS acquisition announcement (30 June 2025), management stated it planned to return to a 2.0 times leverage ratio by the end of fiscal 2026, a target that compares with the approximately 2.6 times net debt to EBITDA calculated for fiscal 2025 in this report, implying management expects continued deleveraging through fiscal 2026 that this report's most recent balance-sheet data does not yet fully reflect. Insider ownership is modest at approximately 6.9 percent of shares outstanding, typical for a company of this scale and tenure.

B. Evaluation

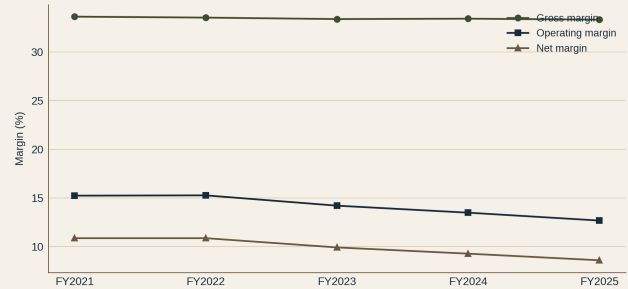
B1. Financial and Operating Metrics

Revenue and year-over-year growth



Fiscal years per Home Depot's own convention (year ended late January/early February of the following calendar year). Source: company filings via Stockanalysis.com and Alpha Vantage, cross-validated.

Gross, operating and net margin



Calculated from reported revenue and profit figures. Source: company filings.

PROFITABILITY, GROWTH AND EFFICIENCY METRICS

Metric	FY2023	FY2024	FY2025	TTM
Gross margin	33.4%	33.4%	33.3%	Not retrieved
Operating margin	14.2%	13.5%	12.7%	Not retrieved
Net margin	9.9%	9.3%	8.6%	8.4%
Return on equity (calculated)	n.m.	n.m.	n.m.	111%
Return on assets (calculated)	n.m.	n.m.	n.m.	13.5%
Return on invested capital (calculated)	n.m.	n.m.	n.m.	20.4%
Revenue growth (YoY)	-3.0%	+4.5%	+3.2%	+5.7% (Q2 FY26)
Diluted EPS	\$15.11	\$14.91	\$14.23	\$14.28

Return on equity is materially elevated because Home Depot's shareholders' equity base is thin following more than a decade of share repurchases; it is a function of an unusually low equity denominator rather than superior capital productivity alone, and return on invested capital is the more informative

profitability metric for this company. n.m. denotes not meaningful for this presentation; effective tax rate of 24.5 percent assumed for return on invested capital, consistent with the company's recent effective tax rate disclosures.

Leverage and cash conversion

Metric	FY2023	FY2024	FY2025
Total debt / EBITDA (period-end debt over period EBITDA, approximated)	Not retrieved	Not retrieved	2.67x
Net debt / EBITDA	Not retrieved	Not retrieved	2.62x
Free cash flow margin	11.8%	10.2%	7.7%
Operating cash flow to net income	1.40x	1.34x	1.15x
Capex / revenue	2.1%	2.2%	2.2%

Sourced/calculated: cash conversion remains healthy, with operating cash flow consistently exceeding net income, indicating earnings are well supported by cash generation rather than accounting accruals. Leverage, calculated only for fiscal 2025 given EBITDA comparability limits in earlier years, sits at approximately 2.6 times net debt to trailing EBITDA, a meaningfully more levered position than Home Depot has historically operated with, reflecting the debt used to fund the SRS Distribution and GMS acquisitions.

B2. Risks

STRUCTURED RISK ASSESSMENT

Category	Key risk	Probability x impact
Business	Continued softness in large discretionary remodeling projects tied to weak existing-home sales turnover	High
Financial	Elevated leverage (~2.6x net debt/EBITDA) following debt-funded acquisitions, with refinancing and interest-rate exposure	Moderate to High
Competitive	Intensifying competition from Lowe's Pro-channel investment and independent distributor consolidation by other acquirers	Moderate
Technological	E-commerce and direct manufacturer channels eroding traditional big-box traffic over time	Low to Moderate
Regulatory	Tariff policy raising input costs on imported building materials and appliances	Moderate
Macro	Sustained high mortgage rates suppressing housing turnover and remodeling demand	High
Valuation	Multiple compression if margin recovery or Pro-channel growth disappoints relative to embedded market expectations	Moderate

Three risks most capable of permanently impairing shareholder value: first, a prolonged housing-market downturn that structurally depresses large-project remodeling demand beyond the current cyclical softness; second, an SRS/GMS integration failure that fails to deliver the Pro-channel synergies used to justify the acquisition purchase prices, leaving the company overleveraged relative to the cash flow those businesses generate; and third, sustained tariff-driven cost inflation on imported categories that cannot be passed through without further damaging already-soft consumer demand.

B3. Valuation

CURRENT TRADING MULTIPLES

Multiple	Home Depot	Lowe's (peer)
Trailing P/E	21.4x	Not retrieved
Forward P/E	20.0x	17.0x
EV/EBITDA (TTM)	15.0x	Not retrieved
EV/Revenue (TTM)	2.18x	Not retrieved
Price / Sales (TTM)	1.80x	1.4x
Price / Free cash flow	24.1x	14.3x
Dividend yield	3.05%	2.47%

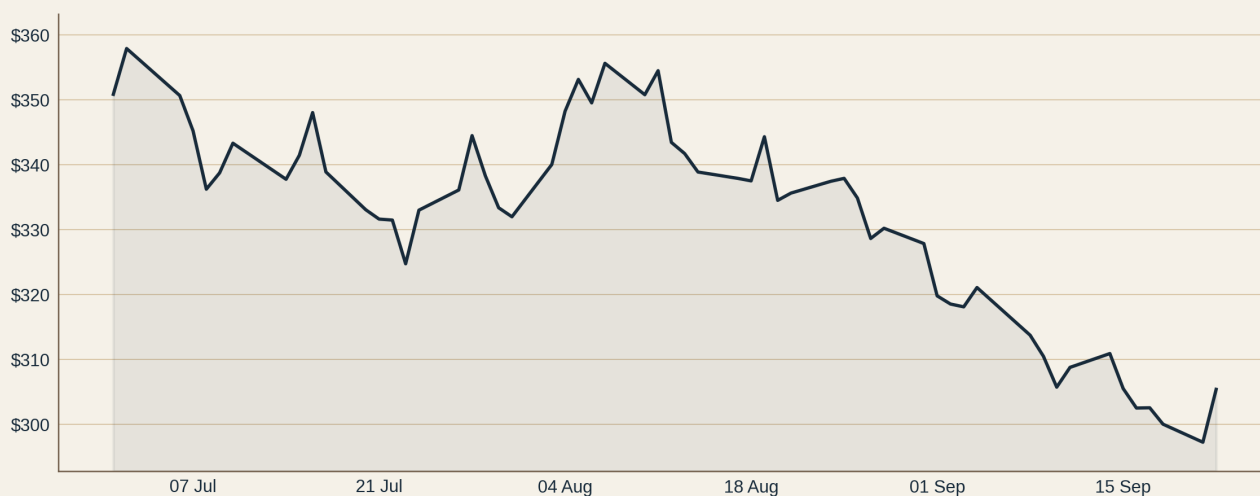
Home Depot figures calculated from the 22 September 2026 closing price of \$305.35, 997.69 million shares outstanding, trailing twelve month revenue of \$169,176 million and EBITDA of \$24,648 million, and fiscal 2025 free cash flow of \$12,646 million. Lowe's figures per company reporting as summarized by The Motley Fool (27 May 2026); several Lowe's multiples not independently retrieved in this research pass and marked accordingly.

Reasoned: Home Depot trades at a premium to Lowe's across every multiple for which a direct comparison is available, consistent with its larger scale, larger and more developed Pro-distribution platform, and lower historical earnings volatility, though the premium has compressed from prior years as Home Depot's own margins have contracted for four consecutive fiscal years.

What the current price appears to require: sustaining the current valuation premium requires a return to consistent mid-single-digit revenue growth (aided by SRS/GMS Pro-channel contribution), stabilization or modest recovery in operating margin toward the mid-13 percent range guided for fiscal 2026, and continued deleveraging without a disruption to the dividend. The discounted cash flow analysis in Section C5 suggests these embedded expectations sit toward the **optimistic** end of a reasonable range of outcomes rather than the conservative end.

B4. Capital Market and Stock Analysis

HD share price, three months to 22 September 2026



Daily closing price. Source: Stockanalysis.com historical market data.

Period / metric	Value
Price return, 1 July 2026 to 22 September 2026 (approx. 3 months)	-13.0%
YTD / 1-year / 3-year / 5-year total return	Not retrieved
52-week high / low	\$400.08 / \$284.85
Current price vs. 52-week high	-23.7%
50-day moving average	\$330.76
200-day moving average	\$341.90
Beta (5-year, vs. broad market)	0.95
Annualized volatility (calculated, trailing 3 months of daily closes)	25.1%
Maximum drawdown (trailing 3 months)	-17.0%

Sourced: Alpha Vantage company overview data and Stockanalysis.com market data, both dated 22 September 2026. Annualized volatility and maximum drawdown calculated by the analyst from the three-month daily closing-price series shown above; longer-period return figures were not retrieved with sufficient source reliability in this research pass and are marked accordingly rather than estimated.

Reasoned: the stock is currently trading below both its 50-day and 200-day moving averages, a configuration generally associated with a near- and medium-term downtrend, and it sits roughly 24 percent below its 52-week high while remaining about 7 percent above its 52-week low. This technical structure is consistent with the fundamental picture of a company whose growth and margins have decelerated over the past year, and it should be read as a description of recent price behavior rather than a signal about intrinsic value, which is addressed separately in Section C5. A beta below 1.0 indicates the stock has historically been somewhat less volatile than the broad market, consistent with Home Depot's status as a large, mature, dividend-paying company.

C. Financial Statements

Reasoned: figures below cover Home Depot's last five reported fiscal years (fiscal year ends late January or early February of the following calendar year). All figures are reported as filed unless marked as calculated by the analyst. Currency: United States dollars, in millions unless noted.

C1. Income Statement

INCOME STATEMENT SUMMARY, REPORTED (\$ MILLIONS UNLESS NOTED)

Line item	FY2021	FY2022	FY2023	FY2024	FY2025
Net revenue	151,157	157,403	152,669	159,514	164,683
Revenue growth (YoY)	+14.4%	+4.1%	-3.0%	+4.5%	+3.2%
Gross profit	50,832	52,778	50,960	53,308	54,865
Gross margin	33.6%	33.5%	33.4%	33.4%	33.3%
Operating income	23,040	24,039	21,689	21,526	20,890
Operating margin	15.2%	15.3%	14.2%	13.5%	12.7%
Net income	16,433	17,105	15,143	14,806	14,156
Net margin	10.9%	10.9%	9.9%	9.3%	8.6%
Diluted EPS (\$)	15.53	16.69	15.11	14.91	14.23

Sourced: company filings as reported by Stockanalysis.com and cross-checked against Alpha Vantage/SEC-derived data for fiscal 2024 and fiscal 2025 net income and cash flow figures, which matched exactly. EBITDA, R&D, SG&A and interest-expense line items were not retrieved at a reported, comparable level of detail for all five years in this research pass and are omitted from this table rather than estimated; trailing twelve month EBITDA of \$24,648 million is disclosed separately in Section B1.

Reasoned drivers: the revenue decline in fiscal 2023 reflected normalizing demand after pandemic-era home improvement spending and a soft big-ticket remodeling environment. The reacceleration in fiscal 2024 and fiscal 2025 was driven substantially by the SRS Distribution acquisition (completed June 2024) and the GMS acquisition (completed September 2025), which added wholesale-distribution revenue on top of a comparable-sales environment that remained roughly flat to modestly positive in the core retail business. Operating margin has contracted in each of the last four fiscal years, from 15.3 percent in fiscal 2022 to 12.7 percent in fiscal 2025, reflecting a combination of deleverage on softer comparable sales, acquisition-related amortization of intangible assets, and a higher mix of lower-margin wholesale-distribution revenue. Margins are contracting, driven principally by acquisition integration costs and mix shift rather than by core retail gross-margin erosion, which has been comparatively stable in the 33 to 34 percent range across the period.

C2. Balance Sheet

BALANCE SHEET SUMMARY, REPORTED (\$ MILLIONS)

Line item	FY2021	FY2022	FY2023	FY2024	FY2025
Cash and equivalents	2,343	2,757	3,760	1,659	1,389
Inventory	22,068	24,886	20,976	23,451	25,817

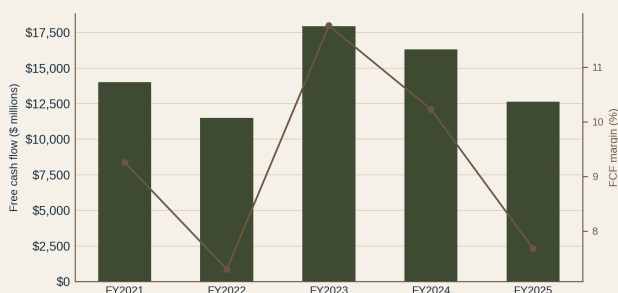
Line item	FY2021	FY2022	FY2023	FY2024	FY2025
Total current assets	29,055	32,471	29,775	31,683	34,391
Property, plant and equipment	31,167	32,572	34,038	35,294	37,225
Goodwill	7,449	7,444	8,455	19,475	22,344
Total assets	71,876	76,445	76,530	96,119	105,095
Total current liabilities	28,693	23,110	22,015	28,661	32,424
Long-term debt	33,566	39,686	40,601	46,531	44,225
Total debt	46,269	51,142	53,101	63,085	65,909
Total liabilities	73,572	74,883	75,486	89,479	92,282
Shareholders' equity	-1,696	1,562	1,044	6,640	12,813
Working capital	362	9,361	7,760	3,022	1,967
Net debt (calculated)	43,926	48,385	49,341	61,426	64,520

Sourced: company filings as reported by Stockanalysis.com. Net debt calculated by the analyst as total debt less cash and equivalents.

Reasoned: shareholders' equity was negative in fiscal 2021, a direct consequence of over a decade of share repurchases that exceeded cumulative retained earnings, a capital structure Home Depot maintained deliberately for many years. Equity has since rebuilt to approximately \$12,813 million by fiscal 2025, aided by curtailed buybacks and retained earnings, but total debt has roughly grown by \$19,640 million and goodwill has grown by approximately \$14,895 million over the same five-year window, the latter almost entirely attributable to the SRS Distribution and GMS acquisitions. Potential red flags: goodwill now represents a significant share of total assets following the two acquisitions, working capital has declined markedly from its fiscal 2022 peak, and net debt of approximately \$64,520 million represents a meaningfully higher leverage position than the company has carried for most of the past decade. These items warrant monitoring for successful integration and deleveraging rather than being treated as an immediate solvency concern, given continued strong free cash flow generation.

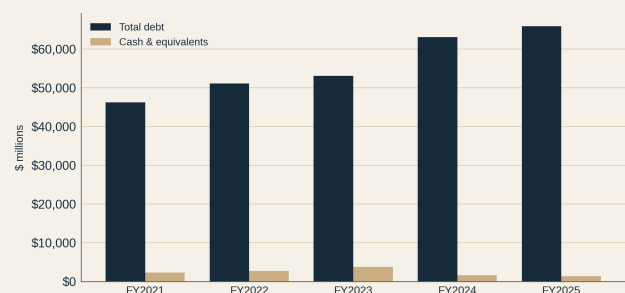
C3. Cash Flow Statement

Free cash flow and FCF margin



FCF calculated as operating cash flow less capital expenditure. Source: company filings.

Total debt versus cash and equivalents



Source: company filings, period-end balances.

CASH FLOW SUMMARY (\$ MILLIONS)

Line item	FY2021	FY2022	FY2023	FY2024	FY2025
Operating cash flow	16,571	14,615	21,172	19,810	16,325
Capital expenditure	-2,566	-3,119	-3,226	-3,485	-3,679
Free cash flow (calculated)	14,005	11,496	17,946	16,325	12,646
Dividends paid	-6,985	-7,789	-8,383	-8,929	-9,152
Share repurchases	-14,809	-6,696	-7,951	-649	0

Sourced: company filings as reported by Stockanalysis.com; fiscal 2024 and fiscal 2025 operating cash flow and capital expenditure figures cross-checked and confirmed against Alpha Vantage/SEC-derived data.

Net income and cash generation have moved together directionally across the period, with operating cash flow exceeding net income in every year shown, indicating accounting earnings are backed by cash rather than aggressive accrual recognition. Free cash flow margin compressed from a fiscal 2023 peak of 11.8% to 7.7% in fiscal 2025, driven by the combination of margin compression described in Section C1 and rising capital expenditure intensity as the company invests in Pro-distribution infrastructure. Capital allocation priorities shifted materially over the period: dividends grew every year, from \$6,985 million to \$9,152 million, while share repurchases fell from \$14,809 million in fiscal 2021 to negligible levels in fiscal 2025, as available capital was redirected toward acquisition financing and debt service.

C4. Forecasting and Projections

Reasoned, base case: revenue growth of approximately 3.5 percent in fiscal 2026, consistent with the low end to midpoint of management's reaffirmed fiscal 2026 guidance of 2.5 to 4.5 percent sales growth, followed by gradual acceleration toward 4.5 to 5.0 percent in fiscal 2027 and fiscal 2028 as SRS/GMS integration matures and comparable sales stabilize, before settling toward a 4.0 percent medium-term pace and a 2.5 percent terminal growth rate consistent with long-run nominal GDP-linked retail growth. Margin projections assume operating margin recovers gradually from the fiscal 2026 guided range of 12.4 to 12.6 percent toward approximately 13.0 percent by the fifth projection year, as acquisition integration costs fade and Pro-distribution scale efficiencies build, broadly in line with management's commentary on a path back toward historical margin levels. Working capital and capital expenditure are assumed to scale with revenue at recent historical ratios (capital expenditure of approximately 2.2 percent of revenue, consistent with the fiscal 2025 level).

ILLUSTRATIVE REVENUE AND FREE CASH FLOW TO THE FIRM PROJECTION, BASE CASE

Fiscal year	FY26E	FY27E	FY28E	FY29E	FY30E
Assumed revenue growth	3.5%	4.5%	5.0%	4.5%	4.0%
Assumed operating margin	12.5%	12.7%	12.9%	13.0%	13.0%
Projected revenue (\$m)	170,447	178,117	187,023	195,439	203,256
Projected free cash flow to the firm (\$m, calculated)	16,415	17,420	18,571	19,556	20,340

Reasoned projection assumptions by the analyst; not management guidance beyond the stated fiscal 2026 figures. Free cash flow to the firm calculated as after-tax operating profit (24.5 percent assumed tax rate) plus depreciation and amortization (assumed 2.4 percent of revenue) less capital expenditure (assumed 2.2 percent of revenue) less incremental net working capital investment (assumed 0.2 percent of incremental revenue).

Bull case: revenue growth accelerates toward 6 to 7 percent as SRS/GMS Pro synergies exceed expectations and housing turnover recovers meaningfully, with operating margin recovering to the 13.5 to 14 percent range. **Bear case:** revenue growth stalls near 1 to 2 percent as housing-market weakness persists, with operating margin remaining pinned near 12

percent as integration and tariff-related costs persist. Sensitivity to these variables is explored quantitatively through the discounted cash flow analysis below.

C5. Discounted Cash Flow Model

Reasoned assumptions: revenue and margin path as set out in Section C4; tax rate of 24.5 percent; depreciation and amortization of 2.4 percent of revenue; capital expenditure of 2.2 percent of revenue; incremental net working capital investment of 0.2 percent of incremental revenue. Weighted average cost of capital of approximately 8.0 percent, derived from a cost of equity of 8.95 percent (4.2 percent risk-free rate plus a 0.95 beta applied to a 5.0 percent equity risk premium) and an after-tax cost of debt of approximately 3.8 percent (5.0 percent pre-tax cost of debt at a 24.5 percent tax rate), weighted by a capital structure of approximately 82 percent equity and 18 percent debt at current market values. Terminal growth rate of 2.5 percent. Net debt of \$64,520 million and 997.69 million diluted shares outstanding are used to bridge enterprise value to per-share equity value.

DISCOUNTED CASH FLOW SENSITIVITY, IMPLIED VALUE PER SHARE

WACC (rows) and terminal growth (columns)	2.0%	2.5%	3.0%
7.0%	\$307	\$342	\$385
7.5%	\$273	\$301	\$335
8.0% (base case)	\$244	\$267	\$294
8.5%	\$220	\$239	\$262
9.0%	\$200	\$216	\$234

Analyst calculation based on the reasoned assumptions stated above. This is a valuation range constructed from stated assumptions, not a precise intrinsic-value estimate; small changes in growth, margin or discount-rate assumptions move the result materially, as the table illustrates.

The base-case discounted cash flow range of approximately \$220 to \$340 per share, centered near \$267, sits below the \$305.35 closing price used throughout this report. This does not by itself indicate the stock is overvalued; rather, it indicates that the current market price appears to embed assumptions toward the upper end of this analyst's reasonable range, for example a faster return to historical operating margins, a lower cost of capital than assumed here, or a more optimistic long-run growth contribution from the SRS/GMS platforms than the base case assumes. Readers should treat this range as a framework for stress-testing their own assumptions rather than as a price target.

C6. Leveraged Buyout Model

Reasoned: a full leveraged buyout analysis is not presented for Home Depot. At an enterprise value of approximately \$369.2 billion, the company's scale places it well outside the range of transactions financeable through the leveraged buyout market, and its investment-grade credit profile, dividend commitment and recent large strategic acquisitions make a leveraged take-private scenario economically implausible under current market conditions. A leveraged buyout model calculated on such a scenario would not provide meaningful information for an investor evaluating Home Depot as a public equity, and is therefore omitted rather than presented as a hypothetical exercise with no realistic transaction pathway.

D. Investment Thesis

Bull Case

Reasoned: Home Depot materially outperforms current expectations if mortgage rates decline enough to restore existing-home sales turnover, unlocking pent-up large-project remodeling demand; if the SRS Distribution and GMS integrations deliver targeted Pro-channel cross-selling and cost synergies faster than expected, lifting operating margin back toward or above the mid-13 percent historical range; and if continued market-share gains in professional-contractor distribution allow revenue growth to sustain a mid-to-high single digit pace. Under these conditions, valuation multiples could expand further from already-premium levels relative to Lowe's.

Bear Case

Reasoned: results disappoint materially if housing-market weakness persists or deepens, further suppressing large-ticket remodeling demand; if margins fail to recover from acquisition-related and tariff-related cost pressure; if integration of SRS and GMS proves more difficult or costly than anticipated, straining an already more leveraged balance sheet; or if the dividend growth rate slows as free cash flow is prioritized toward debt reduction. Under these conditions, the current valuation premium versus Lowe's and versus the discounted cash flow range in Section C5 could compress meaningfully.

Base Case

Reasoned: the most reasonable scenario based on currently available information is continued low-to-mid single digit revenue growth, aided modestly by full-year contribution from GMS, gradual operating margin recovery toward the fiscal 2026 guided range of 12.4 to 12.6 percent and slightly beyond in subsequent years, continued strong absolute free cash flow generation directed primarily toward dividend maintenance and debt reduction, and a valuation that remains full relative to the discounted cash flow range calculated in this report.

Catalysts

- Quarterly earnings releases, particularly comparable-sales trends in the core DIY and Pro retail business separate from acquisition-driven revenue.
- Evidence of SRS Distribution and GMS integration progress, including disclosed synergy realization or margin contribution.
- Changes in mortgage rates and their effect on existing-home sales turnover.
- Tariff policy developments affecting imported building materials and appliances.
- Capital allocation signals, including any resumption of meaningful share repurchases as leverage declines.

Things to Monitor

Metric or event	Why it matters	Positive signal	Negative signal
Comparable sales growth	Best available proxy for underlying demand health excluding acquisitions	Sustained positive comparable sales across DIY and Pro	Continued flat to negative comparable sales

Metric or event	Why it matters	Positive signal	Negative signal
Operating margin trajectory	Direct measure of integration and cost-control progress	Margin trending back above 13 percent	Further compression below fiscal 2026 guidance
Net debt / EBITDA	Indicates deleveraging progress after two large acquisitions	Ratio declining toward historical norms	Ratio stable or rising
Mortgage rates and existing-home sales	Principal macro driver of large-project remodeling demand	Meaningful rate declines and rising home turnover	Rates remaining elevated or rising further
Share repurchase resumption	Signals management confidence in balance-sheet capacity	Buybacks resuming at a meaningful pace	Buybacks remaining suspended for an extended period

E. Final Investment Framework

BUSINESS QUALITY	High. Category-leading scale, owned real estate, and the largest professional-contractor distribution network in the segment following the SRS and GMS acquisitions.
FINANCIAL QUALITY	Moderate. Consistent, above-net-income cash generation, but a materially more leveraged balance sheet than the company has carried historically, with net debt near 2.6 times EBITDA.
COMPETITIVE POSITION	Strong. Clear scale leadership over Lowe's, its only directly comparable national peer, with expanding Pro-channel reach.
MANAGEMENT	Reasoned as disciplined but acquisitive: a demonstrated shift from share buybacks toward strategic acquisitions and debt reduction, with an uninterrupted, growing dividend maintained throughout.
INDUSTRY	Mature and moderately cyclical in the core big-box segment; consolidating in the professional-distribution sub-segment where Home Depot has been investing.
VALUATION	Full. Current multiples sit above both the calculated base-case discounted cash flow range and the comparable peer, Lowe's, across every directly comparable multiple.
TECHNICAL AND MARKET STRUCTURE	Bearish to neutral in the near term. Price sits below both the 50-day and 200-day moving averages and roughly 24 percent below its 52-week high.
PRINCIPAL RISK	A prolonged housing-market downturn that structurally depresses large-project remodeling demand beyond the current cyclical softness.
PRINCIPAL CATALYST	A meaningful decline in mortgage rates that restores existing-home sales turnover and large-project remodeling confidence.
KEY VARIABLE	The pace and durability of operating margin recovery as the SRS Distribution and GMS acquisitions are integrated.
THESIS INVALIDATION	The investment thesis would become materially weaker if net debt to EBITDA continues to rise beyond approximately 3.0 times without a corresponding acceleration in Pro-channel revenue and margin contribution, or if comparable sales remain negative for more than two additional consecutive fiscal years.

F. Data Table

STANDARDIZED COMPANY SNAPSHOT

Category	Metric	Current	Prior year	5-year trend
Market	Market capitalization	\$304.6bn	Not retrieved	n/a
Market	Enterprise value	\$369.2bn	Not retrieved	n/a
Market	Share price	\$305.35	Not retrieved	Range \$285-\$400 (52-week)
Growth	Revenue growth	+3.2%	+4.5%	+14.4% to +3.2%
Profitability	Gross margin	33.3%	33.4%	33.6% to 33.3%, gradually declining
Profitability	Operating margin	12.7%	13.5%	15.2% to 12.7%, declining
Profitability	Net margin	8.6%	9.3%	10.9% to 8.6%, declining
Profitability	Return on equity (calculated)	111%	Not retrieved	Distorted by thin equity base
Profitability	Return on invested capital (calculated)	20.4%	Not retrieved	n/a
Cash Flow	Operating cash flow	\$16,325m	\$19,810m	Volatile, \$16,571m to \$16,325m
Cash Flow	Free cash flow	\$12,646m	\$16,325m	\$14,005m to \$12,646m, compressing margin
Leverage	Net debt / EBITDA	2.62x	Not retrieved	Rising materially since FY2024
Valuation	P/E (trailing)	21.4x	Not retrieved	n/a
Valuation	EV/EBITDA	15.0x	Not retrieved	n/a
Valuation	P/FCF	24.1x	Not retrieved	n/a
Market	Beta	0.95	Not retrieved	n/a
Market	Volatility (annualized, 3-month, calculated)	25.1%	Not retrieved	n/a
Market	Maximum drawdown (3-month, calculated)	-17.0%	Not retrieved	n/a

Prior-year and five-year trend columns are populated only where a directly comparable figure was sourced and verified in this research pass; unretrieved figures are marked "Not retrieved" rather than estimated, consistent with the research standard applied throughout this report.

G. Sources and Methodology

Primary Sources

The Home Depot, Inc. Investor Relations

Second Quarter Fiscal 2026 earnings release, 18 August 2026. Used for Q2 FY2026 sales, comparable sales, EPS and full-year guidance.
<https://ir.homedepot.com/~media/Files/H/HomeDepot-IR/press-release/q2-2026-earnings-release.pdf>

The Home Depot, Inc. Investor Relations

Fiscal 2025 Form 10-K annual report. Referenced for fiscal-year revenue and business description context.
<https://ir.homedepot.com/~media/Files/H/HomeDepot-IR/reports-and-presentations/quarterly-earnings/2025/q4-2025-10-k.pdf>

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Press releases on the SRS Distribution and GMS acquisitions, June and September 2025. Used for acquisition strategy and timeline.
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Exhibit 99.1 filing related to the SRS/GMS transaction, 2025.
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Secondary Sources

Retail Insider

"Home Depot restructures leadership to streamline operations and accelerate growth strategy," July 2026. Used for management and organizational structure.
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<https://www.cfodive.com/news/home-depot-warns-tariff-impact-modest-price-hikes/758202/>

The Motley Fool

"Lowe's vs. The Home Depot: Which Retail Stock Is the Better Buy in 2026?," 27 May 2026. Used for peer comparison figures.
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"NAHB Expects Remodeling Growth in 2026 and Beyond," February 2026. Used for remodeling-market growth outlook, housing-stock aging data and remodeling-firm counts.
<https://www.nahb.org/news-and-economics/press-releases/2026/02/nahb-expects-remodeling-growth-2026>

The Home Depot, Inc. Investor Relations

Press release, "The Home Depot Enters Into Agreement for SRS Distribution to Acquire GMS," 30 June 2025. Used for deal terms and the stated 2.0 times leverage target.
<https://ir.homedepot.com/news-releases/2025/06-30-2025-130354727>

Market Data

Stockanalysis.com

Income statement, balance sheet, cash flow statement, and daily historical closing-price data for HD, retrieved 22-23 September 2026.
<https://stockanalysis.com/stocks/hd/>

Alpha Vantage

Company overview, dividend history, and annual cash-flow-statement data for HD, retrieved 23 September 2026; used to cross-validate Stockanalysis.com figures.
<https://www.alphavantage.co/>

Calculations

Analyst calculations

Free cash flow, net debt, enterprise value, trading multiples, return on invested capital, discounted cash flow model and sensitivity table, and price-volatility/drawdown statistics were calculated by the analyst from the sourced figures cited above, as identified throughout the report text and table footnotes.

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